The direct pass-through from oil to rates has weakened compared with a few months ago, as markets turn their attention to inflation data. We expect the US core CPI reading to come in at 0.3% MoM, which is too hot to support lower rates. The ongoing AI jitters do help a 10yr UST yield of 5% look relatively attractive, supporting inflows into longer rates

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

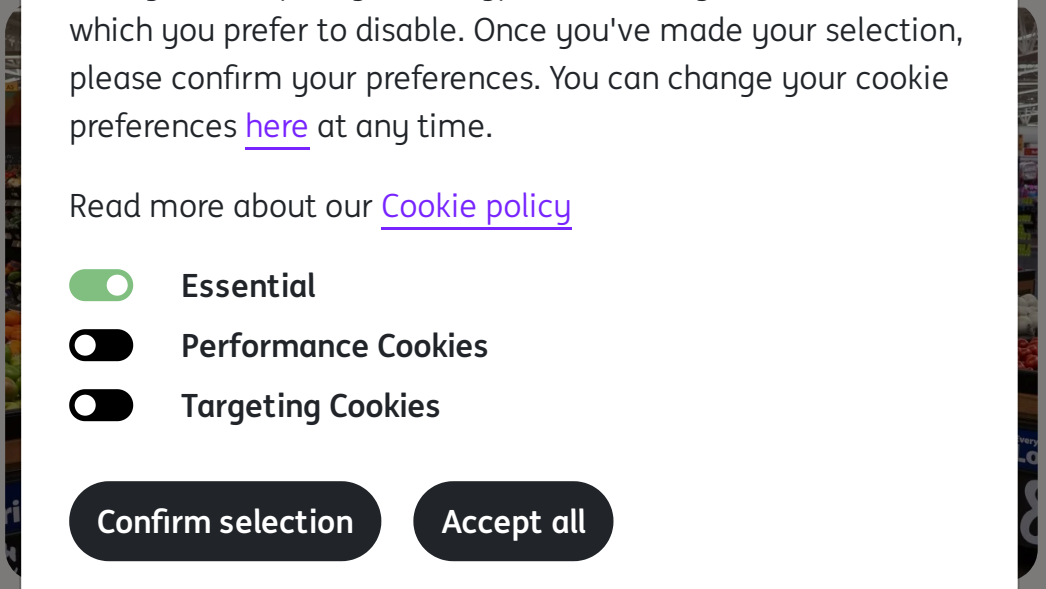
Essential

Performance Cookies

Targeting Cookies

Confirm selection

Accept all



Lower oil doesn't have as strong an impact on rates as a few months ago

Risk sentiment improved a tad on Monday, helped by oil easing lower and a recovery in AI stocks. But the bid for duration seems to stick and most global 10yr rates managed to tick a few bp lower. Flows data from the last few weeks already reflected increased demand for longer-dated bonds, even before the AI jitters started. Concerns about stretched equity prices can further feed the relative value play whereby a 10yr UST yield of around 5% could look attractive.

Having said that, we still warn about the upside risks to rates in the near term. Markets are constantly rotating their attention between AI and inflation concerns, keeping volatility high. Next up is the US CPI number, which consensus still sees coming in hot at 0.3% MoM for the headline figure. Our economist also expects the core reading to come in at 0.3%, which does not look good on an annualised basis.

Brent oil ticking closer to $90 per barrel helps ease inflation risks but doesn't remove the upside risks. Rates were much more sensitive to oil prices a few months ago, but the correlation has diminished significantly. The damage has been done in terms of h
s e
p
ir

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies

There is no relevant data out of Europe on Tuesday, but among other things, the BoE's Watcher conference will feature a number of central bank speakers from the BoE as well as the ECB, including chief economist Lane.

In primary markets, the EU will conduct its last syndicated sale for the year with taps of the 5y and 20y benchmarks. The Netherlands auctions 10y DSLs (up to €3bn). The UK auctions 29y Gilts (£1bn), and the US Treasury sells new 10y notes (US$42bn).

Rates Daily

Content Disclaimer

This publication has been prepared by ING solely for information purposes irrespective of a particular user's means, financial situation or investment objectives. The information does not constitute investment recommendation, and nor is it investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument.

Read more

Share Download

Cookie settings

At ING we respect your right to choose how your data is used. Here you can specify which type of cookies you consent to and which you prefer to disable. Once you've made your selection, please confirm your preferences. You can change your cookie preferences here at any time.

Read more about our Cookie policy

Essential

Performance Cookies

Targeting Cookies